QUARTERLY INVESTOR REPORT

Parkview Residences | Atlanta, GA

RECEIVED 10/29/2023

Investment	Parkview Residences
Quarter	4Q 2024
Report Date	October 2, 2023
Sponsor	Beacon Hollow Investors
Occupancy	95.2%

Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 8.0% with an equity multiple of 1.42x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Resident turnover has averaged 10.5% annually with renewal retention above 92.1%. Projected levered IRR is 12.6% with an equity multiple of 1.33x over the hold period. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 45 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day.

Collections for the period were 90.4% of billed charges, with bad debt of 5.6% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members.

Business Plan Progress

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 6.9% with an equity multiple of 1.16x over the hold period. Resident turnover has averaged 10.8% annually with renewal retention above 91.9%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 2.2% with an equity multiple of 1.10x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Property Operations

Collections for the period were 96.1% of billed charges, with bad debt of 3.3% of gross potential income. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Resident turnover has averaged 12.3% annually with renewal retention above 88.6%. Service requests are tracked through a work-order system with an average completion time of 17 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Risk Considerations

Resident turnover has averaged 11.8% annually with renewal retention above 96.2%. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 3.6% with an equity multiple of 1.44x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 89.1% of billed charges, with bad debt of 7.5% of gross potential income. Resident turnover has averaged 12.9% annually with renewal retention above 94.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Service requests are tracked through a work-order system with an average completion time of 12 hours. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 10.9% annually with renewal retention above 89.0%.

Investment Overview

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 32 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 47th business day. Resident turnover has averaged 10.2% annually with renewal retention above 91.7%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 89.5% of billed charges, with bad debt of 3.7% of gross potential income.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Resident turnover has averaged 12.0% annually with renewal retention above 90.7%. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.6% of billed charges, with bad debt of 7.4% of gross potential income.

Investor Distributions

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Water heater replacement	Site	12/31/26	Q4 2026	$789,000	$399,266	Approved
Exterior paint	Site	08/24/23	Q3 2025	$209,000	$23,997	Deferred
Water heater replacement	Interior	02/08/25	Q4 2025	$318,000	$267,429	Deferred
Security camera upgrade	Building	02/14/23	Q2 2025	$92,000	$96,510	Complete
Lobby renovation	Energy	10/30/23	Q4 2026	$554,000	$543,852	Complete
LED lighting retrofit	Building	10/30/25	Q4 2027	$892,000	$147,514	Deferred
LED lighting retrofit	Site	08/25/23	Q3 2027	$29,000	$10,028	Complete
HVAC replacement	Site	05/11/24	Q2 2027	$503,000	$434,207	Complete
Sewer line repair	Site	01/12/24	Q4 2027	$152,000	$154,753	Bidding
Water heater replacement	Interior	04/20/24	Q4 2025	$764,000	$777,374	In progress
Parking lot resurfacing	Life Safety	08/17/23	Q3 2026	$109,000	$42,247	Bidding
LED lighting retrofit	Interior	08/05/26	Q4 2026	$437,000	$69,093	In progress
Roof replacement - Bldg B	Life Safety	12/02/24	Q1 2027	$664,000	$674,808	Deferred
Storefront glazing	Site	02/03/26	Q4 2026	$602,000	$40,574	Complete
Pool resurfacing	Site	04/09/25	Q1 2027	$213,000	$125,465	Deferred
Water heater replacement	Building	10/24/23	Q3 2026	$900,000	$748,809	In progress
Security camera upgrade	Life Safety	02/04/25	Q1 2025	$759,000	$548,378	In progress
Elevator modernization	Building	03/20/26	Q1 2026	$194,000	$86,074	Deferred
Parking lot resurfacing	Energy	05/14/25	Q4 2025	$815,000	$254,065	In progress
Unit interior upgrades	Interior	03/01/23	Q4 2027	$498,000	$492,368	Deferred
ADA compliance	Site	09/03/24	Q4 2027	$75,000	$60,728	Complete
Security camera upgrade	Energy	04/23/25	Q2 2027	$493,000	$164,906	In progress
Parking lot resurfacing	Life Safety	04/22/25	Q3 2025	$608,000	$313,635	In progress
Parking lot resurfacing	Interior	10/25/23	Q3 2026	$407,000	$103,703	Deferred
Elevator modernization	Site	03/02/26	Q2 2027	$259,000	$19,537	Approved
Fire alarm panel upgrade	Interior	04/26/25	Q1 2027	$179,000	$124,368	Deferred
Signage / monument	Energy	09/03/24	Q1 2025	$145,000	$31,915	Approved
Signage / monument	Energy	10/26/24	Q4 2026	$748,000	$464,895	Bidding
Landscape / irrigation	Site	04/08/26	Q4 2027	$489,000	$335,029	Bidding
Landscape / irrigation	Energy	09/20/26	Q1 2027	$223,000	$25,652	Complete
Fence replacement	Interior	01/01/24	Q1 2025	$177,000	$27,812	Deferred
Pool resurfacing	Energy	10/22/23	Q2 2027	$670,000	$461,413	Complete
Water heater replacement	Building	01/19/23	Q4 2027	$508,000	$538	Approved
Pool resurfacing	Interior	11/28/25	Q2 2026	$689,000	$517,269	Bidding
Storefront glazing	Site	12/13/26	Q3 2025	$85,000	$83,164	Bidding
Parking lot resurfacing	Interior	12/29/23	Q1 2027	$223,000	$95,877	Bidding
Amenity renovation	Interior	07/29/25	Q2 2026	$351,000	$311,532	Deferred
Signage / monument	Life Safety	09/03/23	Q3 2026	$227,000	$215,009	In progress
Amenity renovation	Site	07/26/26	Q1 2026	$470,000	$75,088	Bidding
Storefront glazing	Interior	08/07/25	Q3 2027	$573,000	$388,884	Bidding
Fire alarm panel upgrade	Site	01/08/23	Q4 2025	$597,000	$255,004	Approved
Fire alarm panel upgrade	Energy	11/10/24	Q2 2025	$770,000	$157,584	Deferred
Unit interior upgrades	Energy	08/31/26	Q4 2026	$733,000	$574,878	Deferred

Report generated 10/02/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Resident turnover has averaged 5.3% annually with renewal retention above 89.5%. The going-in capitalization rate of 7.24% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Effective gross income for the trailing period was $147,000, representing a 6.1% increase over the prior year. The going-in capitalization rate of 7.51% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 4.9% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.1% over the hold period. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Market Overview

Median household income within a 6-mile radius of the property is approximately $136,000 and has grown 10.7% annually. Market vacancy for comparable Multifamily product stands at 3.6%, down from 5.1% two years ago. Parkview Residences is located in Atlanta, GA, a market that has recorded 6.9% population growth over the last five years. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Resident turnover has averaged 8.8% annually with renewal retention above 88.0%. The Atlanta Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Parkview Residences is located in Atlanta, GA, a market that has recorded 10.9% population growth over the last five years. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Median household income within a 1-mile radius of the property is approximately $70,000 and has grown 3.0% annually. Rent growth in the submarket has averaged 5.3% annually over the past 4 years.

Valuation Discussion

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Debt service coverage ratio was 6.07x on a trailing basis against a covenant minimum of 1.20x.

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. Effective gross income for the trailing period was $58,000, representing a 13.7% increase over the prior year. Operating expenses totaled $154,000 or approximately 45.45 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.84x on a trailing basis against a covenant minimum of 1.20x. Resident turnover has averaged 13.6% annually with renewal retention above 89.1%.

Market Overview

Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 6.29% and 6.29%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Market vacancy for comparable Multifamily product stands at 8.8%, down from 5.0% two years ago.

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Rent growth in the submarket has averaged 3.8% annually over the past 9 years. Resident turnover has averaged 4.7% annually with renewal retention above 89.7%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 7.11% and 7.11%.

Financial Analysis

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$40,321	$43,239	$45,754	$5,433	13.5%	$635.47
5010 Loss to Lease	$51,095	$47,435	$48,710	-$2,384	-4.7%	$676.53
5020 Vacancy Loss	$114,949	$110,946	$111,476	$527	0.5%	$1,548.28
5030 Concessions	$79,776	$79,533	$81,824	$2,048	2.6%	$1,136.45
5040 Bad Debt	$13,842	$14,409	$14,819	$977	7.1%	$205.82
5050 Late Fees	$25,360	$23,943	$24,530	-$830	-3.3%	$340.70
5060 Utility Reimbursements	$43,877	$47,205	$48,746	$4,869	11.1%	$677.03
5070 Parking Income	$20,082	$20,696	$21,206	$1,124	5.6%	$294.53
5080 Application Fees	$110,710	$108,068	$113,605	$2,896	2.6%	$1,577.85
5090 Pet Rent	$98,830	$106,536	$111,106	$12,276	12.4%	$1,543.14
5100 Laundry Income	$68,115	$63,730	$67,076	-$1,039	-1.5%	$931.60
5110 Cable/Internet Revenue	$112,434	$105,921	$113,199	$765	0.7%	$1,572.21
5120 CAM Reimbursements	$53,089	$55,906	$56,444	$3,355	6.3%	$783.94
5130 Tax Reimbursements	$61,536	$60,407	$63,430	$1,895	3.1%	$880.97
5140 Insurance Reimbursements	$54,765	$50,917	$52,429	-$2,335	-4.3%	$728.18
5150 Percentage Rent	$109,551	$113,446	$121,053	$11,501	10.5%	$1,681.29
5160 Misc. Income	$41,414	$39,797	$40,163	-$1,251	-3.0%	$557.82
5170 Payroll - Management	$96,447	$98,953	$102,671	$6,224	6.5%	$1,425.98
5180 Payroll - Leasing	$94,667	$94,417	$98,343	$3,676	3.9%	$1,365.87
5190 Payroll - Maintenance	$96,984	$99,460	$106,327	$9,342	9.6%	$1,476.76
5200 Payroll Taxes & Benefits	$17,441	$17,404	$18,003	$563	3.2%	$250.05
5210 Repairs - Plumbing	$57,935	$53,881	$54,276	-$3,659	-6.3%	$753.83
5220 Repairs - HVAC	$87,062	$90,466	$93,818	$6,755	7.8%	$1,303.02
5230 Repairs - Electrical	$29,737	$32,111	$34,156	$4,419	14.9%	$474.39
5240 Repairs - Appliances	$101,809	$109,505	$116,181	$14,373	14.1%	$1,613.63
5250 Painting & Decorating	$122,226	$120,930	$125,367	$3,141	2.6%	$1,741.21
5260 Flooring	$128,471	$130,031	$130,884	$2,413	1.9%	$1,817.83
5270 Make-Ready / Turnover	$107,676	$100,864	$103,668	-$4,008	-3.7%	$1,439.83
5280 Landscaping Contract	$22,874	$24,317	$25,377	$2,503	10.9%	$352.46
5290 Snow Removal	$11,438	$11,235	$11,519	$81	0.7%	$159.99
5300 Janitorial	$54,047	$56,063	$56,560	$2,513	4.6%	$785.56
5310 Pest Control	$15,567	$15,668	$16,374	$807	5.2%	$227.42
5320 Trash Removal	$115,244	$111,167	$116,332	$1,089	0.9%	$1,615.73
5330 Elevator Contract	$91,607	$91,762	$92,562	$955	1.0%	$1,285.58
5340 Fire & Life Safety	$13,588	$13,585	$14,527	$939	6.9%	$201.76
5350 Security	$127,245	$128,027	$135,651	$8,407	6.6%	$1,884.05
5360 Electricity - Common	$84,684	$84,003	$84,165	-$518	-0.6%	$1,168.97
5370 Gas - Common	$33,003	$35,121	$37,366	$4,364	13.2%	$518.97
5380 Water & Sewer	$25,757	$24,916	$25,962	$205	0.8%	$360.59
5390 Telephone/Internet	$23,676	$23,462	$23,640	-$36	-0.2%	$328.33
5400 Advertising	$57,828	$61,751	$65,967	$8,139	14.1%	$916.21
5410 Resident Events	$82,283	$84,808	$87,008	$4,726	5.7%	$1,208.45

RECEIVED 10/29/2023

Report generated 10/02/2023. Figures are unaudited and subject to change.

RECEIVED 10/29/2023

Investor Distributions

Projected levered IRR is 10.9% with an equity multiple of 1.38x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 9.4% annually with renewal retention above 88.3%. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 8.0% with an equity multiple of 1.39x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Leasing and Marketing

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Service requests are tracked through a work-order system with an average completion time of 3 hours. Collections for the period were 96.6% of billed charges, with bad debt of 5.3% of gross potential income.

Resident turnover has averaged 3.3% annually with renewal retention above 95.6%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Collections for the period were 93.3% of billed charges, with bad debt of 6.4% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 40 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Risk Considerations

Resident turnover has averaged 8.1% annually with renewal retention above 92.7%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 5.4% with an equity multiple of 1.33x over the hold period. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. Projected levered IRR is 2.5% with an equity multiple of 1.11x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 2.3% annually with renewal retention above 90.4%.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 36 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 12.9% annually with renewal retention above 96.9%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Collections for the period were 92.8% of billed charges, with bad debt of 6.0% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Resident turnover has averaged 13.9% annually with renewal retention above 92.5%.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 3.4% with an equity multiple of 1.39x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 5.1% on contributed capital. Resident turnover has averaged 3.2% annually with renewal retention above 93.9%.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Building	09/02/23	Q1 2027	$833,000	$141,492	Approved
LED lighting retrofit	Site	04/07/24	Q4 2027	$402,000	$207,307	Bidding
LED lighting retrofit	Energy	06/10/26	Q2 2027	$675,000	$357,085	Approved
Security camera upgrade	Energy	11/02/25	Q2 2027	$227,000	$159,841	In progress
Fire alarm panel upgrade	Building	07/25/23	Q4 2025	$459,000	$442,079	Bidding
Pool resurfacing	Life Safety	10/27/23	Q1 2026	$686,000	$29,445	Bidding
Unit interior upgrades	Building	08/01/24	Q2 2026	$675,000	$660,434	Complete
Lobby renovation	Site	11/06/25	Q2 2026	$281,000	$109,432	Approved
Amenity renovation	Site	07/20/25	Q1 2026	$617,000	$316,688	Deferred
LED lighting retrofit	Energy	09/14/26	Q1 2025	$819,000	$606,957	Deferred
Landscape / irrigation	Interior	08/15/25	Q1 2027	$191,000	$155,068	Bidding
Lobby renovation	Building	10/23/23	Q2 2026	$370,000	$230,727	In progress
Amenity renovation	Energy	04/15/23	Q3 2027	$313,000	$45,875	Deferred
LED lighting retrofit	Energy	03/25/23	Q1 2027	$157,000	$67,925	In progress
Pool resurfacing	Life Safety	05/18/26	Q1 2025	$809,000	$780,253	Approved
Fence replacement	Building	05/12/25	Q3 2025	$121,000	$55,513	Deferred
Door hardware	Life Safety	06/01/24	Q2 2027	$392,000	$123,804	Approved
Water heater replacement	Site	11/03/25	Q2 2025	$703,000	$124,673	Complete
ADA compliance	Energy	06/25/24	Q2 2027	$77,000	$74,538	In progress
Amenity renovation	Site	07/31/26	Q3 2027	$856,000	$407,169	Approved
Lobby renovation	Interior	01/13/26	Q3 2026	$635,000	$269,594	In progress
Unit interior upgrades	Life Safety	01/31/26	Q1 2025	$701,000	$640,631	Complete
Sewer line repair	Building	08/11/24	Q2 2027	$356,000	$2,546	Bidding
Landscape / irrigation	Site	12/13/23	Q4 2027	$608,000	$11,355	Complete
ADA compliance	Interior	12/15/25	Q2 2027	$584,000	$394,431	Deferred
Pool resurfacing	Site	04/22/25	Q1 2026	$665,000	$608,811	Approved
LED lighting retrofit	Building	04/18/24	Q1 2026	$900,000	$893,784	Approved
Landscape / irrigation	Interior	04/15/24	Q1 2027	$251,000	$11,676	In progress
Water heater replacement	Interior	07/29/23	Q4 2026	$22,000	$22,303	Bidding
Parking lot resurfacing	Site	12/18/23	Q1 2025	$612,000	$110,272	Approved
Unit interior upgrades	Life Safety	12/09/26	Q3 2026	$710,000	$578,365	Bidding
Landscape / irrigation	Life Safety	01/29/26	Q1 2026	$96,000	$90,411	In progress
Unit interior upgrades	Energy	04/02/25	Q4 2027	$309,000	$319,706	Bidding
Signage / monument	Site	05/11/24	Q2 2025	$42,000	$37,569	Complete
Exterior paint	Interior	07/28/23	Q2 2027	$128,000	$42,968	Complete
Landscape / irrigation	Building	04/10/23	Q3 2025	$10,000	$10,295	Complete
Door hardware	Building	08/14/24	Q2 2027	$606,000	$49,971	Approved
Lobby renovation	Site	08/20/24	Q4 2026	$686,000	$175,688	Complete
Water heater replacement	Building	05/28/25	Q3 2025	$396,000	$114,034	Bidding
Fence replacement	Site	10/09/23	Q1 2027	$437,000	$53,985	Bidding
Roof replacement - Bldg D	Building	11/29/23	Q4 2025	$22,000	$4,554	In progress
Door hardware	Interior	04/21/23	Q2 2027	$432,000	$118,193	Complete

Report generated 10/02/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Operating expenses totaled $296,000 or approximately 16.00 per square foot, with real estate taxes representing the largest line item. Resident turnover has averaged 9.9% annually with renewal retention above 94.4%. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses.

Supply and Demand

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Market vacancy for comparable Multifamily product stands at 4.5%, down from 5.2% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Employment growth is led by healthcare, logistics, education and professional services sectors. Parkview Residences is located in Atlanta, GA, a market that has recorded 12.6% population growth over the last five years. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 8.1% annually with renewal retention above 95.6%. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $224,000, representing a 7.2% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 6.2% over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Supply and Demand

Parkview Residences is located in Atlanta, GA, a market that has recorded 3.8% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 4.7%, down from 5.2% two years ago. The Atlanta Multifamily market has experienced absorption of 1200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 2.7% annually with renewal retention above 91.0%. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 6.10% and 6.10%. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Multifamily product stands at 8.7%, down from 7.2% two years ago. Parkview Residences is located in Atlanta, GA, a market that has recorded 3.5% population growth over the last five years.

Valuation Discussion

Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.90% reflects the in-place income and the stabilized occupancy assumption. Resident turnover has averaged 7.2% annually with renewal retention above 91.0%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $136,000 or approximately 32.28 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The going-in capitalization rate of 5.75% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Operating expenses totaled $137,000 or approximately 12.92 per square foot, with real estate taxes representing the largest line item.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$65,328	$66,671	$69,227	$3,899	6.0%	$961.49
5420 Office Supplies	$79,894	$84,141	$86,589	$6,695	8.4%	$1,202.62
5430 Legal & Professional	$41,692	$40,755	$41,929	$237	0.6%	$582.35
5440 Accounting & Audit	$103,654	$99,932	$104,568	$915	0.9%	$1,452.34
5450 Licenses & Permits	$25,908	$25,970	$26,200	$293	1.1%	$363.89
5460 Management Fee	$127,878	$134,204	$136,236	$8,359	6.5%	$1,892.17
5470 Property Insurance	$5,947	$5,816	$5,923	-$25	-0.4%	$82.26
5480 Real Estate Taxes	$87,925	$81,618	$86,848	-$1,077	-1.2%	$1,206.22
5490 Asset Management Fee	$124,881	$120,991	$125,723	$842	0.7%	$1,746.15
5500 Replacement Reserves	$20,651	$20,968	$21,707	$1,057	5.1%	$301.49
5510 Roof Repairs	$9,988	$9,673	$10,228	$240	2.4%	$142.05
5520 Parking Lot Repairs	$99,661	$101,841	$103,737	$4,076	4.1%	$1,440.80
5530 Signage	$111,934	$110,816	$115,082	$3,148	2.8%	$1,598.36
5540 Tenant Improvements	$42,615	$42,462	$43,542	$927	2.2%	$604.75
5550 Leasing Commissions	$102,579	$109,438	$116,072	$13,493	13.2%	$1,612.11
5000 Gross Potential Rent	$11,770	$12,356	$12,513	$743	6.3%	$173.79
5010 Loss to Lease	$100,546	$103,463	$104,272	$3,726	3.7%	$1,448.23
5020 Vacancy Loss	$47,689	$47,522	$48,323	$634	1.3%	$671.16
5030 Concessions	$128,283	$118,259	$124,627	-$3,655	-2.8%	$1,730.93
5040 Bad Debt	$95,323	$96,835	$99,915	$4,592	4.8%	$1,387.71
5050 Late Fees	$21,930	$21,706	$22,647	$717	3.3%	$314.54
5060 Utility Reimbursements	$75,790	$80,983	$83,930	$8,140	10.7%	$1,165.69
5070 Parking Income	$87,484	$91,455	$94,564	$7,080	8.1%	$1,313.39
5080 Application Fees	$129,407	$124,830	$127,172	-$2,234	-1.7%	$1,766.28
5090 Pet Rent	$27,702	$27,836	$28,662	$961	3.5%	$398.09
5100 Laundry Income	$107,381	$105,722	$109,928	$2,546	2.4%	$1,526.77
5110 Cable/Internet Revenue	$110,745	$106,606	$111,073	$328	0.3%	$1,542.68
5120 CAM Reimbursements	$88,941	$86,354	$88,663	-$278	-0.3%	$1,231.43
5130 Tax Reimbursements	$70,960	$67,945	$72,329	$1,369	1.9%	$1,004.57
5140 Insurance Reimbursements	$127,649	$134,220	$138,878	$11,229	8.8%	$1,928.86
5150 Percentage Rent	$39,817	$38,923	$41,213	$1,396	3.5%	$572.41
5160 Misc. Income	$77,797	$76,801	$78,256	$459	0.6%	$1,086.89
5170 Payroll - Management	$128,311	$123,424	$130,934	$2,623	2.0%	$1,818.53
5180 Payroll - Leasing	$29,092	$30,218	$31,323	$2,231	7.7%	$435.04
5190 Payroll - Maintenance	$82,791	$81,806	$86,326	$3,535	4.3%	$1,198.98
5200 Payroll Taxes & Benefits	$62,591	$63,771	$66,594	$4,003	6.4%	$924.92
5210 Repairs - Plumbing	$101,789	$101,793	$108,544	$6,755	6.6%	$1,507.55
5220 Repairs - HVAC	$9,874	$9,718	$9,842	-$32	-0.3%	$136.69
5230 Repairs - Electrical	$49,786	$46,163	$48,210	-$1,577	-3.2%	$669.58
5240 Repairs - Appliances	$30,531	$30,382	$31,782	$1,251	4.1%	$441.42
5250 Painting & Decorating	$111,069	$115,310	$121,039	$9,970	9.0%	$1,681.10

Report generated 10/02/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 6.3% annually with renewal retention above 94.3%. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. Resident turnover has averaged 8.1% annually with renewal retention above 94.6%.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Resident turnover has averaged 4.4% annually with renewal retention above 96.1%. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 29 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 40 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 29 hours. Resident turnover has averaged 6.9% annually with renewal retention above 92.2%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 12.1% annually with renewal retention above 91.3%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 6.2% annually with renewal retention above 89.2%.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 7.3% annually with renewal retention above 91.7%.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. Collections for the period were 89.1% of billed charges, with bad debt of 5.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 25th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Investor Distributions

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Amenity renovation	Building	01/04/23	Q4 2027	$567,000	$124,597	Bidding
Elevator modernization	Energy	11/16/26	Q4 2025	$77,000	$19,472	In progress
Storefront glazing	Energy	06/13/26	Q1 2026	$539,000	$379,746	Approved
Water heater replacement	Building	03/04/26	Q2 2026	$220,000	$121,627	Deferred
Storefront glazing	Site	07/08/23	Q2 2025	$602,000	$254,789	In progress
Pool resurfacing	Building	03/30/23	Q1 2025	$89,000	$63,992	In progress
Sewer line repair	Life Safety	02/04/25	Q4 2027	$338,000	$59,587	Bidding
Signage / monument	Energy	05/16/26	Q3 2025	$261,000	$1,430	In progress
Signage / monument	Interior	10/30/26	Q4 2026	$28,000	$14,527	Complete
Pool resurfacing	Life Safety	01/26/26	Q4 2025	$826,000	$515,504	Approved
Signage / monument	Life Safety	07/05/23	Q3 2026	$486,000	$241,623	Bidding
Exterior paint	Life Safety	12/19/23	Q4 2026	$155,000	$103,282	Approved
HVAC replacement	Site	09/15/23	Q1 2026	$359,000	$182,428	Bidding
Pool resurfacing	Interior	08/22/25	Q4 2026	$720,000	$225,231	Bidding
HVAC replacement	Life Safety	08/17/25	Q1 2025	$648,000	$531,726	Bidding
Door hardware	Site	03/24/25	Q4 2025	$540,000	$81,787	Bidding
Signage / monument	Life Safety	12/23/25	Q2 2026	$836,000	$185,015	Complete
Landscape / irrigation	Interior	11/17/24	Q3 2026	$284,000	$101,001	Complete
Amenity renovation	Building	11/08/23	Q1 2025	$534,000	$425,401	Bidding
Landscape / irrigation	Interior	08/24/24	Q4 2025	$435,000	$221,923	In progress
Security camera upgrade	Interior	01/15/25	Q3 2025	$640,000	$305,691	Complete
Sewer line repair	Life Safety	11/25/24	Q4 2026	$768,000	$788,348	Bidding
Landscape / irrigation	Life Safety	03/27/25	Q3 2027	$176,000	$50,234	Complete
Storefront glazing	Site	04/06/25	Q3 2027	$756,000	$314,182	In progress
Security camera upgrade	Life Safety	08/21/24	Q3 2025	$430,000	$206,293	Complete
Security camera upgrade	Energy	09/06/25	Q4 2027	$180,000	$26,529	Deferred
Water heater replacement	Life Safety	02/02/26	Q4 2026	$625,000	$432,746	Approved
Unit interior upgrades	Building	09/09/23	Q1 2025	$228,000	$217,181	Deferred
Security camera upgrade	Building	06/23/25	Q3 2026	$806,000	$308,330	Complete
Roof replacement - Bldg C	Interior	01/08/25	Q2 2027	$530,000	$39,649	Approved
Security camera upgrade	Building	09/18/25	Q3 2026	$219,000	$171,696	Complete
Sewer line repair	Interior	01/12/23	Q3 2025	$800,000	$638,778	Deferred
Fence replacement	Life Safety	01/22/23	Q3 2027	$299,000	$310,182	Bidding
Fence replacement	Interior	07/13/26	Q1 2025	$326,000	$174,611	Complete
Pool resurfacing	Energy	07/13/26	Q1 2025	$160,000	$24	Deferred
Exterior paint	Building	04/21/26	Q1 2025	$628,000	$625,931	Complete
Sewer line repair	Interior	04/17/23	Q4 2026	$183,000	$47,052	In progress
LED lighting retrofit	Site	01/06/25	Q4 2025	$442,000	$21,853	Complete
Unit interior upgrades	Energy	11/20/26	Q2 2026	$377,000	$388,548	Approved
Exterior paint	Building	05/01/24	Q1 2025	$442,000	$16,368	In progress
Sewer line repair	Life Safety	12/25/24	Q3 2027	$463,000	$267,850	Complete

Report generated 10/02/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 2.2% annually with renewal retention above 94.9%. Debt service coverage ratio was 7.54x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $260,000, representing a 11.3% increase over the prior year.

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.76x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $383,000 or approximately 35.31 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 7.91% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $334,000, representing a 9.8% increase over the prior year.

Submarket Analysis

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The Atlanta Multifamily market has experienced absorption of 2300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 7-mile radius of the property is approximately $100,000 and has grown 4.1% annually.

Resident turnover has averaged 12.6% annually with renewal retention above 90.6%. Rent growth in the submarket has averaged 5.1% annually over the past 9 years. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Financial Analysis

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.21% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.29x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $248,000, representing a 3.5% increase over the prior year. Resident turnover has averaged 3.3% annually with renewal retention above 90.7%.

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 12.2% annually with renewal retention above 94.4%. Effective gross income for the trailing period was $61,000, representing a 12.8% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period.

Submarket Analysis

Market vacancy for comparable Multifamily product stands at 9.2%, down from 3.1% two years ago. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 7.2% annually over the past 11 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 8-mile radius of the property is approximately $61,000 and has grown 8.8% annually.

The Atlanta Multifamily market has experienced absorption of 2600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Parkview Residences is located in Atlanta, GA, a market that has recorded 8.4% population growth over the last five years. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Market vacancy for comparable Multifamily product stands at 5.7%, down from 7.9% two years ago. Investor demand for Multifamily assets in Atlanta remains strong with recent trades at capitalization rates between 6.49% and 6.49%.

Valuation Discussion

Effective gross income for the trailing period was $105,000, representing a 10.4% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$76,022	$72,520	$75,426	-$596	-0.8%	$1,047.58
5250 Painting & Decorating	$23,727	$22,519	$22,994	-$733	-3.1%	$319.36
5260 Flooring	$25,413	$24,780	$24,978	-$435	-1.7%	$346.92
5270 Make-Ready / Turnover	$80,107	$81,629	$85,921	$5,813	7.3%	$1,193.35
5280 Landscaping Contract	$105,318	$105,984	$112,652	$7,334	7.0%	$1,564.61
5290 Snow Removal	$90,561	$84,790	$90,278	-$283	-0.3%	$1,253.86
5300 Janitorial	$41,179	$39,065	$40,961	-$218	-0.5%	$568.90
5310 Pest Control	$58,986	$60,002	$62,300	$3,314	5.6%	$865.28
5320 Trash Removal	$114,064	$110,218	$113,339	-$725	-0.6%	$1,574.15
5330 Elevator Contract	$92,029	$98,605	$103,338	$11,308	12.3%	$1,435.24
5340 Fire & Life Safety	$24,003	$24,686	$25,634	$1,630	6.8%	$356.02
5350 Security	$53,079	$57,045	$57,273	$4,194	7.9%	$795.46
5360 Electricity - Common	$36,080	$36,196	$38,692	$2,612	7.2%	$537.38
5370 Gas - Common	$122,888	$124,635	$128,494	$5,605	4.6%	$1,784.63
5380 Water & Sewer	$32,100	$32,340	$32,448	$347	1.1%	$450.66
5390 Telephone/Internet	$104,706	$108,043	$112,129	$7,423	7.1%	$1,557.34
5400 Advertising	$36,364	$34,485	$36,262	-$102	-0.3%	$503.64
5410 Resident Events	$23,216	$23,446	$24,114	$898	3.9%	$334.91
5420 Office Supplies	$31,905	$33,063	$33,784	$1,879	5.9%	$469.22
5430 Legal & Professional	$77,564	$72,500	$73,064	-$4,500	-5.8%	$1,014.77
5440 Accounting & Audit	$68,306	$72,104	$74,414	$6,107	8.9%	$1,033.52
5450 Licenses & Permits	$32,831	$34,681	$35,485	$2,654	8.1%	$492.85
5460 Management Fee	$117,705	$122,896	$128,579	$10,875	9.2%	$1,785.82
5470 Property Insurance	$48,704	$49,573	$50,690	$1,986	4.1%	$704.02
5480 Real Estate Taxes	$57,247	$53,254	$54,729	-$2,519	-4.4%	$760.12
5490 Asset Management Fee	$123,931	$124,028	$127,436	$3,505	2.8%	$1,769.95
5500 Replacement Reserves	$97,521	$100,241	$106,247	$8,726	8.9%	$1,475.66
5510 Roof Repairs	$97,496	$104,320	$111,094	$13,598	13.9%	$1,542.98
5520 Parking Lot Repairs	$50,369	$50,802	$52,803	$2,433	4.8%	$733.37
5530 Signage	$116,338	$112,225	$112,529	-$3,809	-3.3%	$1,562.90
5540 Tenant Improvements	$73,461	$76,034	$77,659	$4,198	5.7%	$1,078.60
5550 Leasing Commissions	$20,140	$20,496	$20,740	$600	3.0%	$288.05
5000 Gross Potential Rent	$71,850	$75,993	$80,384	$8,534	11.9%	$1,116.44
5010 Loss to Lease	$125,500	$127,540	$131,372	$5,873	4.7%	$1,824.61
5020 Vacancy Loss	$49,154	$46,138	$48,739	-$415	-0.8%	$676.93
5030 Concessions	$18,018	$19,353	$19,777	$1,759	9.8%	$274.68
5040 Bad Debt	$70,005	$68,821	$69,099	-$906	-1.3%	$959.71
5050 Late Fees	$74,657	$69,624	$71,822	-$2,835	-3.8%	$997.53
5060 Utility Reimbursements	$84,501	$83,200	$84,890	$388	0.5%	$1,179.02
5070 Parking Income	$68,410	$71,513	$75,104	$6,694	9.8%	$1,043.11

RECEIVED 10/29/2023

Report generated 10/02/2023. Figures are unaudited and subject to change.

Investor Distributions

Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. Resident turnover has averaged 10.8% annually with renewal retention above 89.3%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 8 years with disposition upon achievement of target returns.

Projected levered IRR is 2.6% with an equity multiple of 1.4x over the hold period. Resident turnover has averaged 9.9% annually with renewal retention above 91.2%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $2,162 per month against an average unit size of 843 square feet.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 8 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 92.6% of billed charges, with bad debt of 4.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Risk Considerations

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Resident turnover has averaged 11.1% annually with renewal retention above 93.2%.

Resident turnover has averaged 2.5% annually with renewal retention above 89.4%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $2,162 per month against an average unit size of 843 square feet. Service requests are tracked through a work-order system with an average completion time of 16 hours.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Service requests are tracked through a work-order system with an average completion time of 27 hours. Resident turnover has averaged 2.1% annually with renewal retention above 92.6%.

Investor Distributions

Projected levered IRR is 14.0% with an equity multiple of 1.46x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 4.0% annually with renewal retention above 94.5%.

Projected levered IRR is 9.7% with an equity multiple of 1.15x over the hold period. Resident turnover has averaged 9.4% annually with renewal retention above 94.7%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Management Commentary

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Disclaimer and Confidentiality

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of GA. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of GA. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of GA. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Parkview Residences and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only